

Week 1

Income Statement

Looking at income over a period of time

3 types of profit

- gross
- operating
- net

net profit margin

most important
for opportunity

balance sheet



=



Liability

owe others

+



equity

your money

Current vs non

to be turned
to cash
within year

Land
house
Buildings

Statement of retained earnings

- ① Shows your net profit after tax
- ② then add in the balance sheet

if company make money

- give money as dividend
- can reinvest

time - 12:41
date - 9/11

Depreciation

- the measured used to ex Vehicle
- Show ~~Lossing~~ value

Balance Sheet to find depreciation

Fixed Assets

- | | |
|-----------------------------|-----------|
| - Truck Historical cost | 100 |
| - Accumulative Depreciation | <u>20</u> |
| - net value | 80 |

buying fixed
is an investment
and the depreciation
is the busi:
expense

Cost of goods sold

cost for producing good + Labour

Beginning inventory

+ purchase

= COG AFS

- Ending inventories

= COGS

example

time 27:32
date 9/11

cost prices
given include
labour

OKa for retail sales

Can find in
casebook

Revenue

net sales

\$2,125

Begin inventory

\$393

+ purchases

\$1664

- ending inventory

\$475

= COGS

\$1,582

gross profit

\$543

Operating

\$160

Admin

\$143

total OP

\$303

net before tax
with tax

\$240
60

total

1,80

Land fixed asset

Prepaid exp Current asset

Accrued exp Current liability

Notes payable Current liability

Long term debt longterm liability

Accumulated depreciation contra asset fixed asset

monetary Securities current asset

Accounts receivable Current asset

Common Stock equity

goodwill equity

Building & equip fixed Asset

retaining earnings equity

Taxes payable Current liability

Cash Current asset

Inventory Current asset

Accounts payable Current liability

do these assets,

Answers 37:41

9/11

goodwill

When you buy a company the book value is essentially the equity value.

When you buy a company you get the asset but you also get their liabilities.

$\therefore$ When you pay more than the equity value a goodwill is created.

★ figure out how to find in case books

Current asset

- resources you own that will be converted to cash within a year

Examples

- Cash
- inventory
- Short term investments

Current liability

- debts to pay off within a year

Examples

- Credit cards
- Short term Loans
- accounts payable

Equity

- residual net value owed by shareholders/owners

Examples

- Common stocks
- retained earnings
- owners capital

$$\text{Asset} = \text{liability} + \text{equity}$$

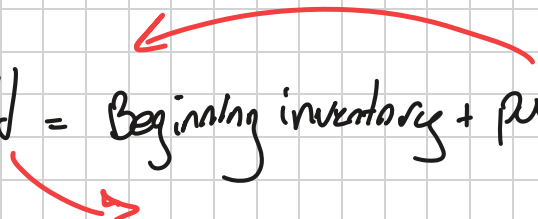
OKAFOR RETAIL SALES INC.
(in 000s of dollars)

Gross income (profit)	\$543
Net income before tax	240
Selling expenses	160
Ending inventory	475
Net sales	2,125
Beginning inventory	393
General and administrative expenses	143

a) cost of goods sold

$$\begin{aligned}\text{gross profit} &= \text{net sales} - \text{Cost of good sold} \\ &= \$2,125 - \$543 \\ &= \$1,582\end{aligned}$$

b) purchases

$$\text{cost of goods sold} = \text{Beginning inventory} + \text{purchases} - \text{Ending inventory}$$


$$\begin{aligned}\text{Purchases} &= \$1,582 + \$475 - \$393 \\ &= \$1,664\end{aligned}$$

c) net income after tax

$$\begin{aligned}\text{Net income after tax} &= \text{net income before tax} - \text{income tax expense} \\ &= \$240 - (\$240 \times 0.25) \\ &= \$180\end{aligned}$$

Making a balance Sheet

$$\text{Asset} = \text{Liability} + \text{equity}$$

Assets	Amount	Liabilities & Equity	Amount
Current Assets:		Current Liabilities:	
Cash PDF	\$4,400	Accounts payable PDF	\$73,700
Marketable securities PDF	\$18,000	Notes payable (90 days) PDF	\$34,800
Accounts receivable PDF	\$60,000	Accrued expenses payable PDF	\$10,500
Inventory PDF	\$182,000	Taxes payable PDF	\$5,200
Prepaid expenses PDF	\$12,800	Total Current Liabilities	\$124,200
Total Current Assets	\$277,200		
		Long-Term Liabilities:	
Fixed Assets:		Long-term debt PDF	\$54,000
Land PDF	\$19,500	Total Liabilities	\$178,200
Building & equipment PDF	\$119,000		
Less: Accumulated depreciation PDF	(\$57,200)	Stockholders' Equity:	
Net Fixed Assets	\$81,300	Common stock PDF	\$51,300
		Retained earnings PDF	\$131,500
Intangible Assets:		Total Stockholders' Equity	\$182,800
Goodwill (net) PDF	\$2,500		
Total Assets	\$361,000	Total Liabilities & Equity	\$361,000

both sides are balanced
at \$ 361,000

